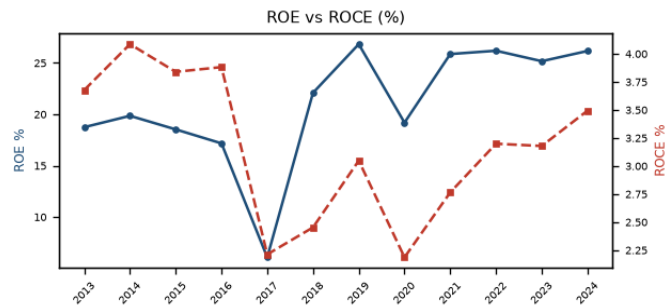
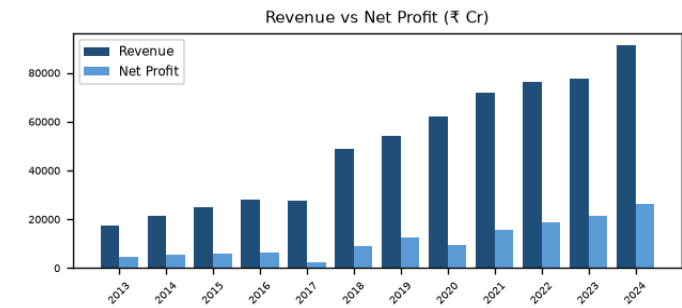


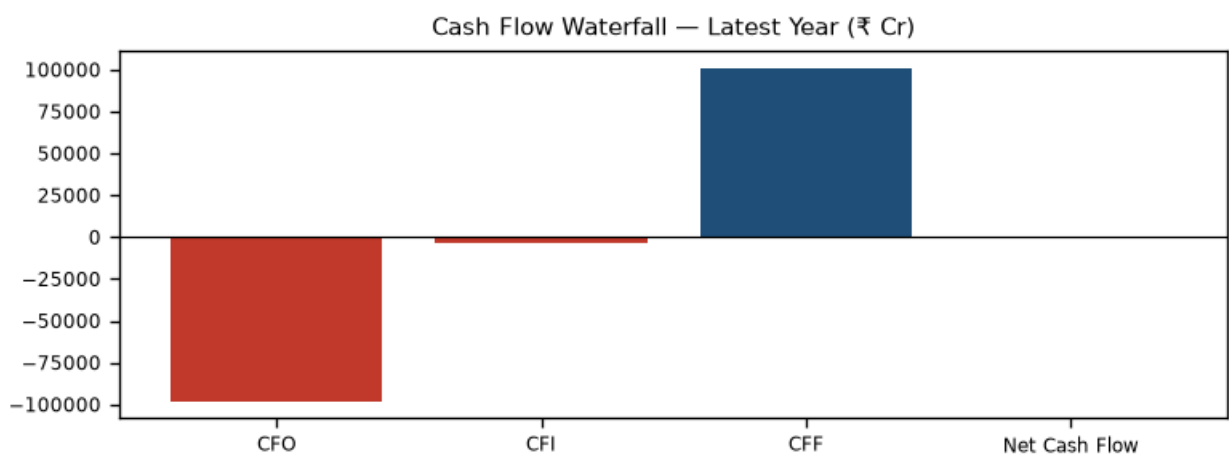
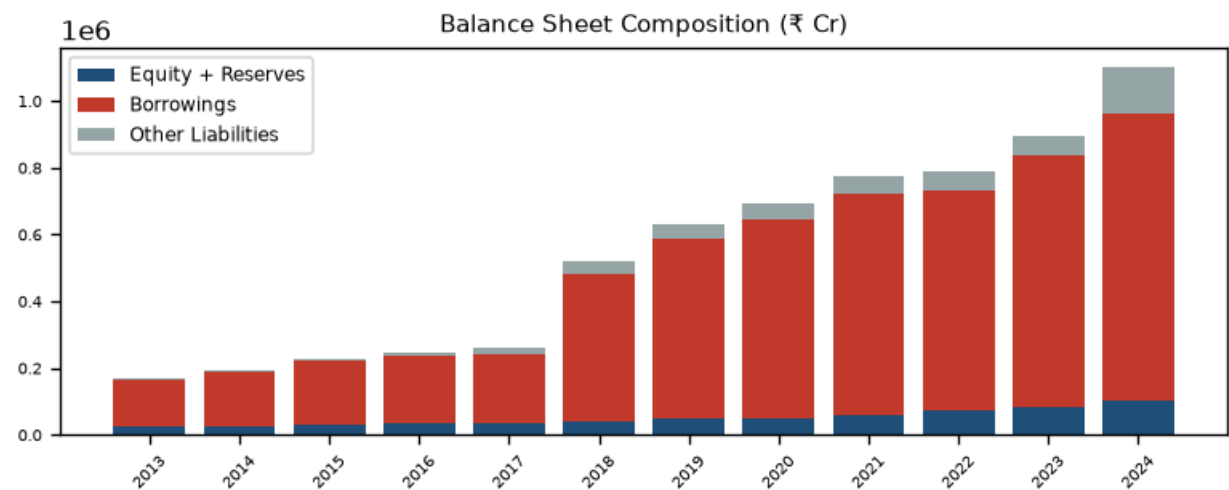
# Power Finance Corporation Ltd (PFC)

Financials — Speciality Finance

| ROE   | ROCE               | Net Profit Margin |
|-------|--------------------|-------------------|
| 26.2% | 3.5%               | 28.9%             |
| D/E   | Revenue CAGR (5yr) | FCF (latest, Cr)  |
| 8.5x  | 11.1%              | -101229           |



## Power Finance Corporation Ltd (PFC) — Balance Sheet & Cash Flow



**Capital Allocation Pattern:** Growth Funded by Debt

### Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (65% confidence)
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline (66% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (65% confidence)

### Cons

- ✗ Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (85% confidence)
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (66% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)